

Mishra Dhatu Nigam Ltd (MIDHANI)

Concall Tracker Ticker: MIDHANI Earnings-call read of the last ~3 years · report date 04 Jul 2026

1. Snapshot — what the company is

MIDHANI is a Government-of-India defence company (the Government owns **74%**) that makes **special metals and alloys** India cannot easily buy abroad — **superalloys** (nickel-based metals that stay strong at jet-engine temperatures), **titanium alloys** (very strong but light), **maraging steel** (ultra-high-strength steel used in rocket casings) and armour steel. Its customers are the strategic backbone of the country: ISRO (space rockets), DRDO and the armed forces (missiles, submarines, tanks), and HAL (fighter aircraft). In plain terms, MIDHANI is the domestic "metal store" for programs that must not depend on imports.

Figure (FY26, year to Mar-2026)	Value	Plain-English read
Revenue (total sales)	₹1,209 cr	Highest ever; up about 13% on FY25 — the business grew, though below the ~20% management keeps aiming for.
Net profit (money left after all costs)	₹131 cr	Up about 19%; back to the pre-slump peak (FY22 was ₹177 cr, then it fell to ₹92 cr in FY24).
Operating margin (OPM)	~20%	Out of every ₹100 of sales, ₹20 is operating profit. Used to be ~30% — it reset lower (see below).
Return on capital (ROCE)	~11%	The profit the business earns on the money tied up in it — modest; was ~20% in FY20-21.
Borrowings	₹407 cr	Debt is moderate and largely working-capital driven (the plants hold a lot of costly metal in stock).
Earnings per share (EPS)	₹7.02	Profit per share — up from ₹4.90 in the FY24 trough.

The one thing to hold in mind: revenue grew from ~₹711 cr (FY19) to ₹1,209 cr (FY26) — roughly 8% a year — while margins fell from ~30% to ~20%. The company changed *what* it sells (from high-margin, lumpy space orders to competitively-priced defence/aerospace superalloys), which lifted volume but squeezed the margin.

2. Concall coverage — what was read

Twelve earnings-call transcripts were read oldest→newest, spanning **Q1 FY24 (Aug 2023) to Q4 FY26 (Jun 2026)** — three full years, every quarter. All calls are hosted by ICICI Securities. Note a leadership change mid-way: **Dr. Sanjay Kumar Jha** was Chairman & Managing Director (CMD) through 2024; there was a caretaker gap in early 2025; **Dr. S.V.S. Narayana Murty** has been CMD since the Q4 FY25 call.

Quarter	Call date	Read?	Quarter	Call date	Read?
Q1 FY24	22 Aug 2023	Yes	Q3 FY25	06 Feb 2025	Yes
Q2 FY24	15 Nov 2023	Yes	Q4 FY25	04 Jun 2025	Yes
Q3 FY24	27 Feb 2024	Yes	Q1 FY26	18 Aug 2025	Yes
Q4 FY24	30 May 2024	Yes	Q2 FY26	14 Nov 2025	Yes
Q1 FY25	16 Aug 2024	Yes	Q3 FY26	17 Feb 2026	Yes

Q2 FY25	15 Nov 2024	Yes	Q4 FY26	03 Jun 2026	Yes
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★ Latest concall highlights — Q4 FY26 (June 2026)

- **Record quarter and record year.** Q4 revenue was **₹552.7 cr**, up ~35% on the same quarter last year (its best-ever quarter); full-year FY26 revenue was **₹1,208.6 cr** (+12.5%) and net profit **₹130.8 cr** (+18.8%) — both all-time highs.
- **Order book keeps climbing.** Orders in hand were **₹2,290 cr** as on 1 Apr 2026, up from ₹1,832 cr a year earlier — that is nearly two years of sales already booked, giving good visibility.
- **Big capability wins.** Titanium output **doubled to ~700 tonnes**; the company won **CEMILAC airworthiness clearance for 10 aero-grade superalloys** and **NADCAP certification** (a global aerospace stamp) — both let jet-engine makers buy directly from MIDHANI. It also made its first **single-crystal turbine-blade material** (the hardest thing in the trade) and opened a ₹40 cr aerospace-fastener plant.
- **New guidance is more sober.** Management now guides ~15% revenue growth (down from the perennial "20%") with ~20% profit growth and a 23–25% operating margin, and a **~₹1,000 cr capex plan over 3 years** to modernise old (1980s) equipment.
- **Tone:** confident on demand and orders, candid about the one weak spot — imported raw-material supply — which it is tackling with a customer-owned "metal bank" on its campus. The loss-making NALCO aluminium joint venture is being formally shut.

Business mix & capacity — quick facts (FY26)

- **Domestic vs export:** Exports were only about **₹78 cr of ₹1,209 cr — roughly 7% of sales**; so **~93% is domestic** (mostly Government defence, space and public-sector customers). Exports have grown three-fold in three years but remain small. (Plain read: almost all sales are inside India, to strategic buyers.)
- **Order-book by sector (Apr 2026):** Defence ~79%, Space ~8%, and the rest energy / others / exports (export order book only ~₹35 cr). (Plain read: this is overwhelmingly a defence supplier today; the old high-margin space work has shrunk in the mix.)
- **Capacity use:** Management says the **titanium and superalloy plants are running at full utilisation**, but the big **Wide Plate Mill runs at only ~40%** (built for strategic plates, still ramping). (Plain read: the core metal plants are near flat-out — more growth needs the ₹1,000 cr new-capacity plan — while the plate mill still has spare room.)

3. Earning-trigger thesis — the headline

What management says will grow earnings: India's push to make its own defence and aerospace hardware ("Atmanirbhar / self-reliance"). MIDHANI is effectively the country's only established maker of the strategic superalloys, titanium alloys and special steels that go into fighter engines, missiles, submarines and rockets. Management repeatedly points to a headline number: about **₹8,000 cr of these very metals are still imported into India every year** — a large, ready pool of business MIDHANI can capture as it adds capacity and wins certifications. Add the tailwinds of rising defence budgets, aero-engine indigenisation (Kaveri, AMCA, LCA Mk2, HAL) and a growing export door (GE, Pratt & Whitney, Rolls-Royce, Safran are auditing its plant).

Trigger	What management said	Evidence so far	Time horizon	Strength
Import-substitution of strategic alloys	₹8,000 cr/yr of superalloys, titanium & special steel imported into India; MIDHANI can capture a rising share.	Order book up from ~₹1,570 cr (2023) to ₹2,290 cr (2026); record FY26 revenue & profit.	Multi-year, ongoing	Strong — clear, live, backed by a rising order book.
Aero-engine & aerospace supply	Certify for and supply into GE / P&W / Rolls-Royce / Safran and HAL; superalloys are the "essence" of any jet engine.	CEMILAC + NADCAP obtained (FY26); Inconel-718 & single-crystal blade material developed; HAL orders ~₹650–750 cr; empanelled with 4 global engine majors (still being audited).	Now → 2–3 yrs to material orders	Moderate — real progress, but export orders still tiny.
Titanium capacity ramp	New titanium melting (VAR furnace) to run flat-out; huge domestic + export demand.	Furnace commissioned FY25; output doubled to ~700 t in FY26; plant "fully utilised"; ~29% of order book is titanium.	Delivered, still scaling	Strong — promised for years, now actually done.
New verticals (armour/jackets, fasteners, springs, metal powder)	Rohtak armour, ABHED bulletproof jackets, aerospace fasteners, railway springs, 3D-print metal powder.	Fastener plant opened; ABHED & Bhabha-Kavach tech transferred; but Rohtak still tiny (~₹10–40 cr) and powder plant delayed by licences.	Early / unproven	Weak–Unproven — mostly still promises.

4. Management consistency scorecard — promised vs delivered

Period	What was promised	What actually happened	Verdict
FY24 (Aug'23–May'24)	~20–25% revenue growth; margins to recover toward 25%+.	Revenue +23% (met), but margin crashed 30%→18% and profit fell 41% (nickel/superalloy cost surge).	Partly
FY24–FY25	Cut the high inventory / free up cash.	Genuinely delivered — inventory brought down and held; work-in-progress trimmed.	Delivered
FY25 (Aug'24–Jun'25)	~20% revenue growth again; margins back to ~22–25%.	Revenue essentially flat (+0.1%) — growth missed — though margin/profit recovered (PAT +20%).	Missed (on growth)
Across all 3 yrs	Commission titanium capacity (sponge supply was the excuse).	VAR furnace commissioned; titanium output doubled by FY26; now fully utilised.	Delivered (late)
Across all 3 yrs	Exports to reach ₹100–150 cr/yr.	Grew 3x (₹30→₹94 cr) but repeatedly fell short of the ₹100 cr+ targets each year.	Partly
Since 2023	Rohtak armour factory a "₹500 cr/yr" opportunity.	Still tiny (order book ~₹10–40 cr); repeatedly over-promised.	Missed
Since ~2019	NALCO aluminium joint venture (Utkarsha).	Flagged as non-viable early, kept "under study", now formally being closed. Honest, but a dead project.	Dropped
			Partly

FY26 (Aug'25– Jun'26)	~₹1,300–1,500 cr revenue, 23% margin, aero certifications.	Revenue ₹1,209 cr (below the ₹1,300 cr floor), but margin held ~20% and CEMILAC/NADCAP won. Guidance now trimmed to 15%.	
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Narrative drift: The *strategy* has been remarkably steady for three years — indigenisation, superalloys + titanium, defence/aerospace, capacity build, exports. Management is also unusually candid: it walked its own margin guidance down from "25–30%" to "20–23%" and explained honestly why (product mix shifted to competitive defence work from lumpy high-margin space work), and it has now trimmed the growth promise from "20%" to "15%". The problem is the **numbers repeatedly undershoot the promises** — a flat FY25, exports short of target every year, and the Rohtak "₹500 cr" story that never showed up. So: steady story, honest tone, but a habit of over-promising on the pace.

5. Bottom line — the two verdicts

Durable earning trigger? → YES

The trigger is real, concrete and still live: MIDHANI is a near-monopoly domestic source of strategic alloys with a ~₹8,000 cr/yr import-substitution runway, a defence-capex tailwind, an order book that has grown ~45% in three years (to ₹2,290 cr), titanium capacity now built and full, and hard-won aero certifications (CEMILAC, NADCAP) that open the door to global engine makers. FY26 delivered record revenue and profit — evidence it is playing out. The honest caveat: it is playing out at a **moderate pace** (~13% growth, ~20% margin), not the explosive rate management once implied — so it is a durable, quality trigger, not a rocket.

Management consistent? → MAYBE

A genuinely mixed record. On execution and honesty they score well — inventory was cut as promised, titanium capacity finally delivered, certifications achieved, and the strategy has not drifted in three years. But on the **headline numbers they repeatedly miss their own guidance**: FY25 revenue was flat against a 20% promise, exports fell short of ₹100 cr targets every year, and the Rohtak armour "₹500 cr" opportunity never materialised. They keep guiding 20% and delivering less (now sensibly reset to 15%). Steady story and candid tone, but too many undershot promises to call it a clean "Yes".